

13 August 2025

Bangkok Dusit Medical Services Public Company Limited

MANAGEMENT DISCUSSION AND ANALYSIS

Executive Summary

2Q25 & 6M25 Performance

	2Q25		6M25	
	THB mm	% Chg (YoY)	THB mm	% Chg (YoY)
Operating Income	27,134	4%	55,586	5%
EBITDA	6,134	7%	13,370	7%
Net Profit	3,490	5%	7,836	6%

Remark: YoY means changes compared to 2Q24 and 6M24

2Q25 Performance

Bangkok Dusit Medical Services Public Company Limited (“The Company”) and subsidiaries reported consolidated operating income for the second quarter of 2025 (“2Q25”) of Baht 27,134 million, an increase of 4% from 2Q24. The growth was mainly attributable to an increase in revenue from hospital operations of 4% YoY which was driven by Thai patient revenues growth of 3% YoY together with international patient revenues growth of 6% YoY.

The Company and its subsidiaries reported EBITDA of Baht 6,134 million, increased by 7% YoY and net profit of Baht 3,490 million, increased by 5% YoY due mainly to growth in both Thai and international patients and effective cost control. Effective financial management also contributed to a reduction in interest expense.

6M25 Performance

For six-month period ended 30 June 2025 (“6M25”), the consolidated operating income were Baht 55,586 million, increased by 5% YoY. The growth was attributable to an increase in revenue from

hospital operations of 5% YoY driven mainly from Thai patient revenues growth of 4% YoY together with international patient revenues growth of 9% YoY.

The Company and its subsidiaries reported EBITDA of Baht 13,370 million, increased by 7% YoY and net profit of 7,836 million, increased by 6% YoY.

Business Overview, Strategy and Industry Update

The Company is the largest private healthcare provider in Thailand. It operates a network of 58 hospitals under six hospital groups: Bangkok Hospital, Samitivej Hospital, BNH Hospital, Phyathai Hospital, Paolo Hospital, and Royal Hospital. Additionally, the Company is involved in supporting medical services, pharmaceutical production, saline solution production, and drug stores.

Strategy and Project Development in 2025: The Company is committed to achieving excellence in healthcare by focusing on medical treatments to achieve optimal outcomes at affordable prices (Value-Based Healthcare), aiming to drive sustainable business growth. Projects in pipeline in 2025 are as follows:

- **March 2025:** Samitivej Srinakarin Hospital opened a new Samitivej International Children’s Hospital, comprising 103 beds and located in Bangkok.
- **May 2025:** Bangkok Chiangmai Hospital opened a new 90 beds facility in Chiangmai.
- **3Q25:** A new hospital, Phyathai Bowin Hospital, with capacity of 220 beds, is scheduled to be opened in Chonburi.

Industry Update:

Thai- Cambodia dispute since June 2025:

As a healthcare service provider, the Company remains committed to delivering equitable care to patients of all nationalities and to treating employees and business partners with fairness and respect. However, the border conflict between Thailand and Cambodia, which began in June 2025, has posed challenges for Cambodian patients in accessing medical services at our hospitals, resulting in a decline in revenue from this patient group during 2Q25 by 23% YoY.

Although revenue from Cambodian patients accounts for approximately 3% of the Company's total revenue, the Company recognizes the impact of the situation and has implemented marketing strategies both domestically and internationally to mitigate the effects.

Major Development in 2Q25

Expanding network hospital

In May 2025, Bangkok Chiangmai Hospital opened a new building with 90 additional beds to accommodate the growing demand for medical services from both Thai and international patients. As a result, the hospital's total structural bed capacity has increased to 282 beds. The new building also allows for an increased capacity to serve more outpatients, including services such as internal medicine, oncology, and preventive health check-up. The design integrates various clinics for more efficient and connected service delivery.

2Q25 Consolidated Financial Summary

Operating Income			
(THB mm)	2Q25	2Q24	YoY
Hospital operations	25,699	24,694	4%
Sales of goods	1,028	1,010	2%
Other income	406	354	15%
Total Operating Income	27,134	26,058	4%

In 2Q25, total operating income was Baht 27,134 million, an increase of Baht 1,076 million or 4% YoY, primarily due to

- Revenues from hospital operations were Baht 25,699 million, an increase of Baht 1,006 million or 4% YoY mainly from Thai patient revenue growth of 3% YoY and international patient revenue growth of 6% YoY. The increase in international patients revenue was primarily supported by growth from Qatar patients 45% YoY, Myanmar patients 19% YoY and American patients 13% YoY which help lessen the 23% YoY decline in revenue from Cambodian patients.

Revenue growth from Thai patients in 2Q25 was modest compared to 2Q24, due to the impact of the domestic economic slowdown and a high base in June 2024 from a surge in epidemic-related cases such as influenza.

Consequently, revenue proportion between Thai and international patients changed from 73%:27% in 2Q24 to 72%:28% in 2Q25.

Overall, revenues from hospital operations in Bangkok & Vicinity grew by 3% YoY while revenues from hospital operations outside Bangkok grew 5% YoY. The higher growth in hospitals outside Bangkok was primarily driven by patient revenue in Chiangmai, Rayong, and Phuket.

Moreover, outpatient and inpatient revenues grew by 6% YoY and 3% YoY, respectively. The overall occupancy rate decreased from 63% in 2Q24 to 61% in 2Q25, due to a decrease in inpatients volume, impacted by the domestic economic slowdown and a high base in June 2024 from epidemics such as influenza.

Revenues from hospital operations in 2Q25	Chg. (YoY)	% of revenues
Revenues growth from hospital operations	4%	100%
Breakdown by nationality		
Thai	3%	72%
International	6%	28%
Breakdown by location		
Bangkok & Vicinity	3%	55%
Outside Bangkok	5%	45%
Breakdown by type of patients		
Outpatients	6%	50%
Inpatients	3%	50%

- Revenues from sales of goods were Baht 1,028 million, increased by 2% YoY due mainly to an increase in sales of A.N.B. Laboratories Co., Ltd. and Save Drug Center Co., Ltd.
- Other incomes were Baht 406 million, increased by 15% YoY mainly from increase in rental income and higher revenue of Mövenpick BDMS Wellness Resort.

Operating Expenses			
(THB mm)	2Q25	2Q24	YoY
Cost of hospital operations and others	17,335	16,664	4%
Administrative expenses	5,323	5,146	3%
Total Operating Expenses (Including depreciation)	22,659	21,810	4%

In 2Q25, the Company and its subsidiaries reported total operating expenses & depreciation of Baht 22,659 million, an increase of Baht 849 million or 4%

YoY. This growth rate was in line with the growth in total operating income during the same period.

Other Major Items

- Finance expenses** decreased to Baht 96 million in 2Q25 or decreased by 13% YoY from debentures redemption in 2Q25 and declining interest rate.
- Corporate income tax** in 2Q25 was Baht 836 million, an increase of 11% YoY primarily due to higher profit before tax and decrease in tax benefits compared with 2Q24. The Company has received tax incentives from the Board of Investment (BOI) for the Digital Core Transformation Project aimed at enhancing efficiency, as well as for energy-saving initiatives and other investment promotion measures.

Profitability Analysis			
(THB mm)	2Q25	2Q24	%Chg
EBITDA	6,134	5,751	7%
EBITDA margin	22.6%	22.1%	
EBIT	4,550	4,333	5%
EBIT margin	16.8%	16.6%	
Corporate income tax	836	756	11%
Net profit	3,490	3,335	5%
Net profit margin	12.9%	12.8%	
EPS (THB)	0.22	0.21	5%
Weighted average number of ordinary shares			
(mm shares)	15,892	15,892	
Remarks			
EBITDA	= Total operating income – Total operating expenses (Excluding depreciation and amortization)		
Profitability margin calculated based on operating income			

The Company and its subsidiaries recorded 2Q25 EBITDA of Baht 6,134 million, increased by 7% YoY, resulting in an increase in EBITDA margin from 22.1% in 2Q24 to 22.6% in 2Q25.

Net profit of Baht 3,490 million, increased by 5% YoY due mainly revenue growth from both Thai and international patients, effective cost control and a reduction in interest expenses from efficient financial management. As a result, the net profit margin increased to 12.9% in 2Q25.

2Q25 Comparing with 1Q25 (QoQ)

Consolidated Financial Summary			
(THB mm)	2Q25	1Q25	QoQ
Total operating income	27,134	28,453	(5)%
Total operating expenses			
(Including depreciation)	22,659	22,839	(1)%
EBITDA	6,134	7,236	(15)%
EBITDA margin	22.6%	25.4%	
EBIT	4,550	5,673	(20)%
EBIT margin	16.8%	19.9%	
Corporate income tax	836	1,081	(23)%
Net profit	3,490	4,346	(20)%
Net profit margin	12.9%	15.3%	
EPS (THB)	0.22	0.27	(20)%

The Company and its subsidiaries reported total operating income lowering by 5% QoQ due to seasonal factors. Thai patient revenues remained stable QoQ while international patient revenues decreased 16% QoQ following the end of high tourist season.

The Company and its subsidiaries reported a 15% decrease in EBITDA from 1Q25, resulting in a decline in EBITDA margin to 22.6% in 2Q25. Similarly, net profit decreased by 20% QoQ.

6M25 Consolidated Financial Summary

Operating Income			
(THB mm)	6M25	6M24	%Chg
Revenues from hospital operations	52,777	50,219	5%
Revenue from sales of goods	2,034	2,093	(3)%
Other income	775	675	15%
Total Operating Income	55,586	52,987	5%

In 6M25, total operating income were Baht 55,586 million, an increase of Baht 2,599 million or increased by 5% YoY, primarily due to

- Revenues from hospital operations were Baht 52,777 million, an increase of Baht 2,558 million or increased by 5% YoY mainly from Thai patient revenue growth of 4% YoY and international patient revenue growth of 9% YoY, driven by an increase of Qatar patients 50% YoY, Myanmar patients 17% YoY and American patients 17% YoY.

Revenue proportion between Thai and international patients remained unchanged at 71%:29% in 6M25.

Hospitals in Bangkok & vicinity and hospitals outside Bangkok & vicinity increased 3% and 7% YoY, respectively.

The occupancy rate slightly decreased from 65% in 6M24 to 64% in 6M25.

Revenues from hospital operations in 6M25	Chg. (YoY)	% of revenues
Revenues growth from hospital operations	5%	100%
Breakdown by nationality		
Thai	4%	71%
International	9%	29%
Breakdown by location		
Bangkok & Vicinity	3%	54%
Outside Bangkok	7%	46%
Breakdown by type of patients		
Outpatients	6%	49%
Inpatients	5%	51%

- Revenues from sales of goods were Baht 2,034 million, decreased by 3% YoY due to a decrease in sales of Medicpharma Co., Ltd.
- Other income was Baht 775 million, increased by 15% YoY due to mainly from increase in rental income and higher revenue of Mövenpick BDMS Wellness Resort.

Operating Expenses			
(THB mm)	6M25	6M24	%Chg
Cost of hospital operations and others	35,021	33,399	5%
Administrative expenses	10,476	10,039	4%
Total Operating Expenses (Including depreciation)	45,497	43,438	5%

In 6M25, the Company and its subsidiaries reported total operating expenses & depreciation of Baht 45,497 million, increase of Baht 2,059 million or 5% YoY mainly from higher doctor fees given the growth in revenue from hospital operations and higher drug and medical supply and other administration expenses.

Other Major Items

- **Finance expenses** decreased to Baht 193 million in 6M25 or decreased by 13% YoY from debentures redemption and declining interest rate.

- **Corporate income tax** in 6M25 were Baht 1,916 million, increased by 7% YoY due primarily due to higher profit before tax and decrease in tax benefits comparing with 6M24. The Company has received tax privileges under various investment promotion schemes.

Profitability Analysis			
(THB mm)	6M25	6M24	%Chg
EBITDA	13,370	12,528	7%
EBITDA margin	24.1%	23.6%	
EBIT	10,223	9,704	5%
EBIT margin	18.4%	18.3%	
Corporate income tax	1,916	1,798	7%
Net profit	7,836	7,408	6%
Net profit margin	14.1%	14.0%	
EPS (THB)	0.49	0.47	6%
<i>Weighted average number of ordinary shares (mm shares)</i>			
	15,892	15,892	

Remarks

EBITDA = Total operating income – Total operating expenses (Excluding depreciation and amortization)

Profitability margin calculated based on operating income

The Company and its subsidiaries recorded EBITDA of Baht 13,370 million in 6M25, increased by 7% YoY resulting in an increase in EBITDA margin from 23.6% in 6M24 to 24.1% in 6M25.

Net profit in 6M25 was Baht 7,836 million, increased by 6% YoY. Net profit margin slightly increased to 14.1% in 6M25 with EPS of Baht 0.49 per share in 6M25.

Assets			
(THB mm)	Jun 25	Dec 24	%Chg
Cash & cash equivalents	5,319	7,373	(28)%
Trade & other receivables	11,480	11,906	(4)%
Inventories	2,921	2,603	12%
Property, premises & equipment	95,039	93,849	1%
Goodwill	17,539	17,539	0%
Right-of-use assets	10,069	10,199	(1)%
Other assets	9,199	8,044	14%
Total assets	151,567	151,514	0%

As of 30 June 2025, the Company and its subsidiaries reported total assets of Baht 151,567 million similar to 31 December 2024.

The Company carried goodwill of Baht 17,539 million, which remain unchanged from 31 December 2024. Goodwill were mainly from acquisitions. Such goodwill is tested for impairment annually and when circumstances indicate that the carrying value may be impaired. However, the Company has considered that this goodwill is not impaired.

Other assets of Baht 9,199 million mainly consisted of (1) intangible assets which mainly were computer software of Baht 2,460 million (2) other current financial assets which were investment in fixed deposits and mutual funds of Baht 1,394 million, and (3) other non-current financial assets which were investment in equity and debt instruments of Baht 1,630 million.

Liabilities and Equity			
(THB mm)	Jun 25	Dec 24	%Chg
Short-term loans	2,500	2,500	0%
Trade & Other payables	6,728	8,113	(17)%
Accrued expenses	8,077	6,296	28%
Debentures *	3,000	4,999	(40)%
Long-term loans *	3,000	3,000	0%
Liabilities under lease agreements *	7,919	7,859	1%
Non-current provision for employee benefits	5,200	4,986	4%
Other liabilities	9,767	9,835	(1)%
Total liabilities	46,190	47,588	(3)%
Equity attributable to equity holder of the Company	101,549	100,037	2%
Non-controlling interests	3,828	3,890	(2)%
Total equity	105,377	103,927	1%

* Including current portion

Total consolidated liabilities as of 30 June 2025 were Baht 46,190 million, decreased by 3% from 31 December 2024 due mainly to a decrease in debentures of Baht 2,000 million and decrease in trade & other payables of Baht 1,386 million, netted with an increase in accrued expenses of Baht 1,781 million.

Total consolidated shareholders' equity as of 30 June 2025 was Baht 105,377 million, slightly increased by 1% from 31 December 2024.

Liquidity and Capital Management

Cash Flow	
(THB mm)	6M25
Net cash from operating activities	12,839
Net cash used in investing activities	(5,926)
Net cash used in financing activities	(8,923)
Exchange differences on translation	(43)

Cash Flow

(THB mm)	6M25
Net decrease in cash and cash equivalents	(2,054)
Beginning cash and cash equivalents	7,373
Ending cash and cash equivalents	5,319

For the six-month period ended 30 June 2025, the Company and its subsidiaries had net decrease in cash and cash equivalent of Baht 2,054 million from the beginning balance of Baht 7,373 million. As a result, the cash and cash equivalents at the end of the period was Baht 5,319 million. Details of cash flow by activities during the period are as follows: -

Net cash flows from operating activities were Baht 12,839 million, mainly from profit in 6M25.

Net cash used in investing activities were Baht 5,926 million comprising mainly from purchase of property, premises and equipment of Baht 5,532 million for hospital network renovation.

Net cash used in financing activities were Baht 8,923 million due mainly to dividend payment of Baht 6,357 million and debentures redemption of Baht 2,000 million.

Ratios Analysis

Returns (%)	6M25	6M24
Return on Asset	11.1	10.8
Return on Equity	16.5	16.1
Liquidity (x)		
Current ratio	0.9	1.2
Assets & Liabilities Management (Days)		
Cash Cycle	18.7	17.8
Average Inventory Period	13.5	11.8
Average Collection Period	39.2	38.4
Average Payable Period	33.9	32.4

Remarks

- Calculated by using last twelve months' performance
- Assets & Liabilities Management based on 365 days

Ratios Analysis

Leverage Ratios (x)	6M25	6M24
Interest coverage	67.9	54.7
Total IBD to EBITDA	0.6	0.6
Net IBD to EBITDA	0.4	0.3
Debt service coverage ratio	4.7	10.6
Current portion of IBD to IBD (%)	35.7	15.5
Loan from financial institutions to IBD (%)	33.5	19.1
Debt to Equity Ratio (x)	Jun 25	Dec 24
Total liabilities to equity	0.4	0.5
Total IBD to equity	0.2	0.2
Net IBD to equity	0.1	0.1

Remarks

- Calculated by using last twelve months' performance
- Assets & Liabilities Management based on 365 days
- IBD means interest bearing debt

ROA and ROE in 6M25 increased from 6M24 as a result of an increase in profit from operations.

The current ratio decreased from 6M24 due to a decrease in cash & cash equivalents together with an increase in short-term loans from financial institutions and the current portion of debentures.

The average inventory period increased from 11.8 days in 6M24 to 13.5 days in 6M25. The inventories were mostly medicines and medical supplies. The Company and its subsidiaries have an appropriate inventory management plan with internal control. The Company and its subsidiaries perform physical inventory count at least once a year and record allowance for the expired, slow-moving and deteriorated inventories to reduce its cost to net realizable value.

The average collection period increased from 38.4 days in 6M24 to 39.2 days in 6M25. The Company and subsidiaries have credit policies and assess credit limit base on customer creditworthiness. The average credit term for domestic payers are approximately 30-60 days while international payers are approximately 30-90 days. The credit terms are

reviewed annually to monitor and control credit risk.

The average payable period also increased from 32.4 days in 6M24 to 33.9 days in 6M25.

Cash Cycle increased from 17.8 days in 6M24 to 18.7 days in 6M25 due mainly to an increase in average inventory period.

For leverage ratios analysis, interest coverage ratio increased from 54.7x in 6M24 to 67.9x in 6M25 mainly from good performance and decrease in finance expenses during the last 12 months. Debt service coverage ratio (DSCR) decreased from 10.6x in 6M24 to 4.7x in 6M25 due to higher current portion of interest bearing debt.

Total interest bearing debt to EBITDA remained unchanged at 0.6x in 6M25 while net interest bearing debt to EBITDA increased from 0.3x in 6M24 to 0.4x in 6M25.

For debt-to-equity ratio analysis, total interest bearing debt to equity remained unchanged at 0.2x, while net interest bearing debt to equity remained unchanged at 0.1x as of both 31 December 2024 and 30 June 2025.

The Company and its subsidiaries strongly believe that it has sufficient liquidity to repay its debt within the covenants and will continue to be able to successfully adapt as the situation evolves.

Sustainable Development Update

In terms of **environment**, BDMS is committed to reducing greenhouse gas emissions in a sustainable manner through the BDMS Green Healthcare and Waste Operation initiatives. These programs emphasize waste reduction, segregation, and recycling throughout the medical service process while fostering environmental awareness among all employees. By 2025, BDMS expects to achieve its

annual greenhouse gas reduction target and move toward net-zero emissions by 2050.

On the **social** front, BDMS prioritizes sustainable human capital development by fostering continuous learning and capability enhancement across all employee levels. The company upholds Human Rights, equity, and social inclusion, and conducts Human Rights Risk Assessments across all operations and stakeholders. In parallel, BDMS enhances community well-being and access to healthcare through initiatives such as mobile medical units, surgeries for underserved populations, improvements to school health facilities and playgrounds, donations of medical equipment and nurse scholarships, basic life support training, and the Train the Trainer program to build a nationwide volunteer health network.

In terms of **governance**, BDMS operates with integrity, fairness, and transparency, adhering to good governance principles while considering all stakeholders. The company maintains a zero-tolerance policy against corruption and applies systematic risk management. Through proactive risk training and patient safety awareness programs, BDMS fosters an internal culture of accountability. Moreover, the Hackathon Camp cultivates innovation within the BDMS network by incubating practical ideas for use in hospital "Sandbox" environments. Collaborations with med-tech startups further support commercialization and new business model development. These efforts form a strategic foundation for promoting an innovation driven culture and enhancing organizational competitiveness.
